

Retail Research	IPO Note
Sector: Healthcare (Service Platforms)	Price Band (Rs): 28 – 30
04 th November 2024	Recommendation: AVOID

Sagility India Ltd.

Company Overview:

Sagility India Ltd (Sagility) is a provider of technology enabled business solutions and services to clients in the US healthcare industry. The company is a pure-play healthcare focused service provider and its clients includes “Payers” (US health insurance companies) and “Providers” (hospitals, physicians, diagnostic and medical devices companies). Services to the payers include i) Claims management, ii) Payment integrity, iii) Clinical management and iv) Other payer services while, services to providers includes revenue cycle management functions. The company delivers these services by leveraging its platform, tools and capable talent pool from five of its global service delivery locations in India, Philippines, US, Jamaica and Colombia.

Key Highlights:

1. Domain expertise in healthcare operations: The company’s pure-play nature of business, together with its 24 years of business experience and effective use of technology has helped it build domain experience in its operations. Its technology enabled services offered to both payers and providers are focused across end-to-end service and front & back-office healthcare services setting it apart from other business services firms, technology transformation firms and back-office service providers.

2. Tech-enabled solutions supported by proprietary tools and platforms: Sagility over the years has developed a suite of proprietary tools and platforms to enable technology-led services and solutions to clients. These proprietary tools and platforms assist in serving the entire spectrum of payers’ operations and providers’ revenue cycle management functions by leveraging robotic process automation (RPA), analytics, artificial intelligence (AI) etc. It uses reusable and reconfigurable components that allow it to build new tools based on clients’ unique requirements. Further in Mar’24, the company acquired BirchAI, a healthcare technology company offering cloud-based generative AI technology. The company expects to enhance its member & provider engagement capabilities and reduce clients’ operational costs by providing various AI-powered real-time customer support solutions through the acquisition.

3. Long-term relations across healthcare payers and providers: As of Jan’24, the company served 5 of the top 10 payers in the US based on enrolment, one of the largest US based hospital network in terms of revenue, 3 of the top 6 pharmacy benefit managers (PBMs) by claims volume among others. Due to the sticky nature of the company’s services, they have high client stickiness and retention. The strong client relations can also be attributed to the company’s focus on account management, reliable & high-quality delivery, deep understanding of the client’s business and ability to grow and scale the portfolio of services over time. The company has dedicated client management teams which manage key client accounts. The company also has a sales & marketing team which undertakes account-based marketing activities and are also experienced in content generation, graphics and proposal writing.

Valuation: The company is valued at FY24 P/E multiple of 56.3x based on the upper price band on the post-issue capital. Sagility possesses robust domain experience in the US healthcare industry which has helped to maintain long-term relations for healthcare payers and providers. The company operates a unique business model and does not have any like-to-like comparable listed peers globally as well as domestically. However, looking at the steep valuation at which business is offered to investors and its dependency on Top 10 clients (~91.2% of 1QFY25 revenue), it is advisable to AVOID the issue.

Issue Details	
Date of Opening	5 th November 2024
Date of Closing	7 th November 2024
Price Band (Rs)	28 – 30
Offer for sale (shares)	70,21,99,262
Fresh Issue (Rs cr)	-
Issue Size (Rs cr)	1,196 – 2,107
No. of shares	70,21,99,262
Face Value (Rs)	10
Post Issue Market Cap (Rs cr)	13,108 – 14,044
BRLMs	ICICI Securities, IIFL Securities, Jefferies India, J. P. Morgan India
Registrar	Link Intime India Pvt Ltd
Bid Lot	500 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NIB shares	15%

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	4,68,13,28,413	100.0
Public & Others	-	-
Total	4,68,13,28,413	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	3,97,91,29,151	85.0
Public & Others	70,21,99,262	15.0
Total	4,68,13,28,413	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	3,97,91,29,151	85.0
Public & Others	70,21,99,262	15.0
Total	4,68,13,28,413	100.0

Source: RHP, SSL Research

Key Financials

Particulars (Rs cr)	FY22 [#]	FY23	FY24	1QFY25
Revenue from operation	923.4	4,218.4	4,753.6	1,223.3
EBITDA	189.6	1,027.2	1,088.1	193.9
PAT	(4.7)	143.6	228.3	22.3
EBITDA Margin (%)	20.5	24.4	22.9	15.9
PAT Margin (%)	-	3.4	4.8	1.8
ROE (%)	-	2.3	3.5	-
ROCE (%)	0.8	4.7	5.1	-
P/E (x)*	-	89.5	56.3	-

Source: RHP, SSL Research

*Note: P/E (x) is based on pre-issue at upper price band

Note: FY22 financial data for 28th July 2021 to 31st March 2022

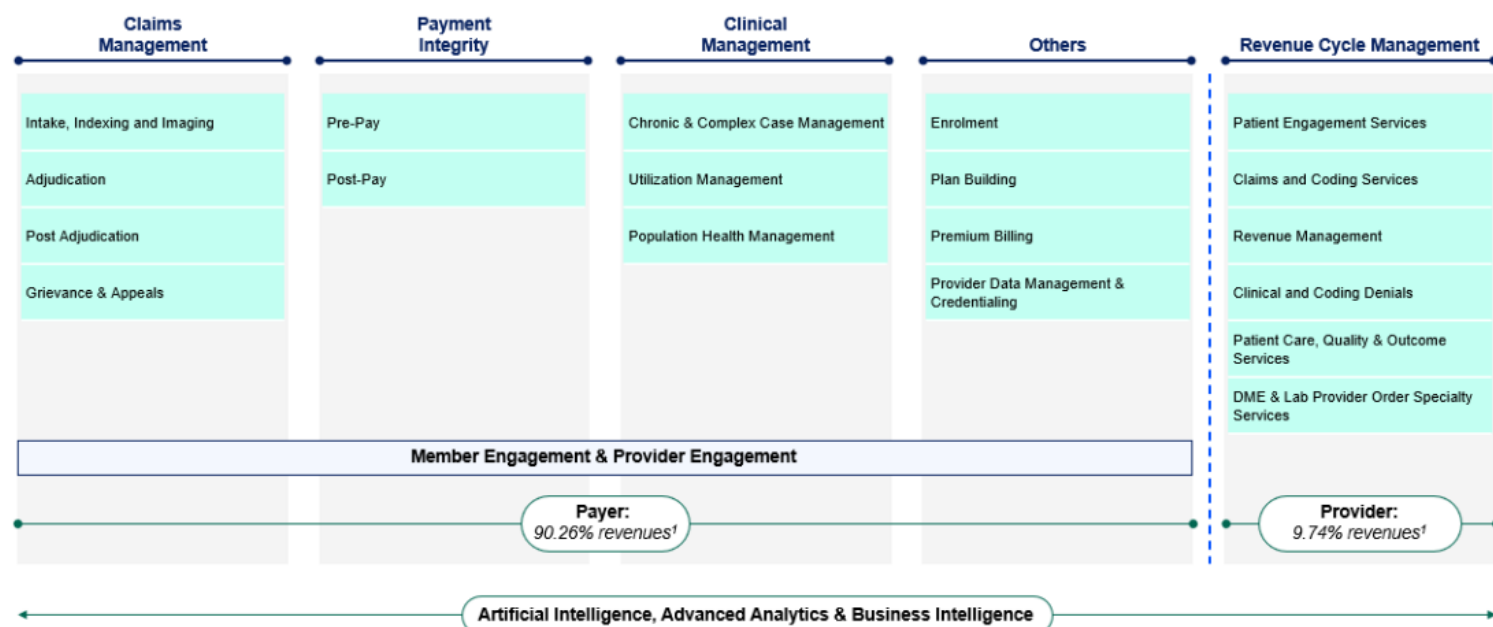
Risk Factors

- **Industry competition risk:** The company operates in a highly competitive industry competing with i) healthcare specialists, (ii) broad-based IT and business services firms, (iii) product-focused companies specializing in providing products or solutions for the healthcare industry and (iv) broad-based CX firms with presence in the healthcare market. Any failure in effectively competing in the industry may adversely affect the business, cashflows and results of operations.
- **Geographical risk:** The company generates all of its revenue from the US healthcare industry and any factors affecting the US healthcare industry including decline in industry growth, reduction in outsourcing, changes in regulations and other trends may adversely affect the business, cashflows and results of operations.
- **Technology risk:** The company relies on unpatented proprietary technology tools and platforms, trade secrets, know-how and confidential information to develop and maintain its competitive position. Any failure to protect its proprietary technologies, information, intellectual property rights may have an adverse effect on business, financial condition and results of operations.
- **Employee attrition risk:** The company depends on its ability to attract, develop, motivate, retain and utilize skilled professionals. It seeks to hire and train a significant number of additional professionals each year in order to meet anticipated turnover and increased staffing needs. The company's ability in properly staffing engagements, maintaining and renewing existing engagements and winning new engagements depends, in large part, on its ability to hire and retain qualified personnel. Any failure to retain and attract new talents may adversely affect the business, cashflows and results of operations.
- **Client retention risk:** The company derived 92.0%/90.7%/91.4%/91.2% of its FY22/FY23/FY24/1QFY25 revenue from its Top 10 clients. Any loss of revenue from top clients, failure in expanding wallet share from existing clients or acquiring new clients may have adversely affect the business, cashflows and results of operations.

Growth Strategy

- Strengthen relationships with existing clients, expand offerings.
- Establish new client relationships across categories.
- Increasing wallet share from new and existing clients.
- Enhance portfolio of technology tolls and platforms.
- Pursue strategic acquisitions and collaborations.

Core operating services



Source: RHP, SSL Research

Revenue Mix – Client wise

Particulars	FY22 [#]		FY23		FY24		1QFY25	
	Rs cr	as a %	Rs cr	as a %	Rs cr	as a %	Rs cr	as a %
Payers	844.7	91.5	3,825.4	90.7	4,290.4	90.3	1,090.1	89.1
Providers	78.7	8.5	393.0	9.3	463.1	9.7	133.2	10.9
Total	923.4	100.0	4,218.4	100.0	4,753.6	100.0	1,223.3	100.0

Source: RHP, SSL Research

[#]: FY22 financial data for 28th July 2021 to 31st March 2022

Revenue from Top 3, 5 & 10 clients

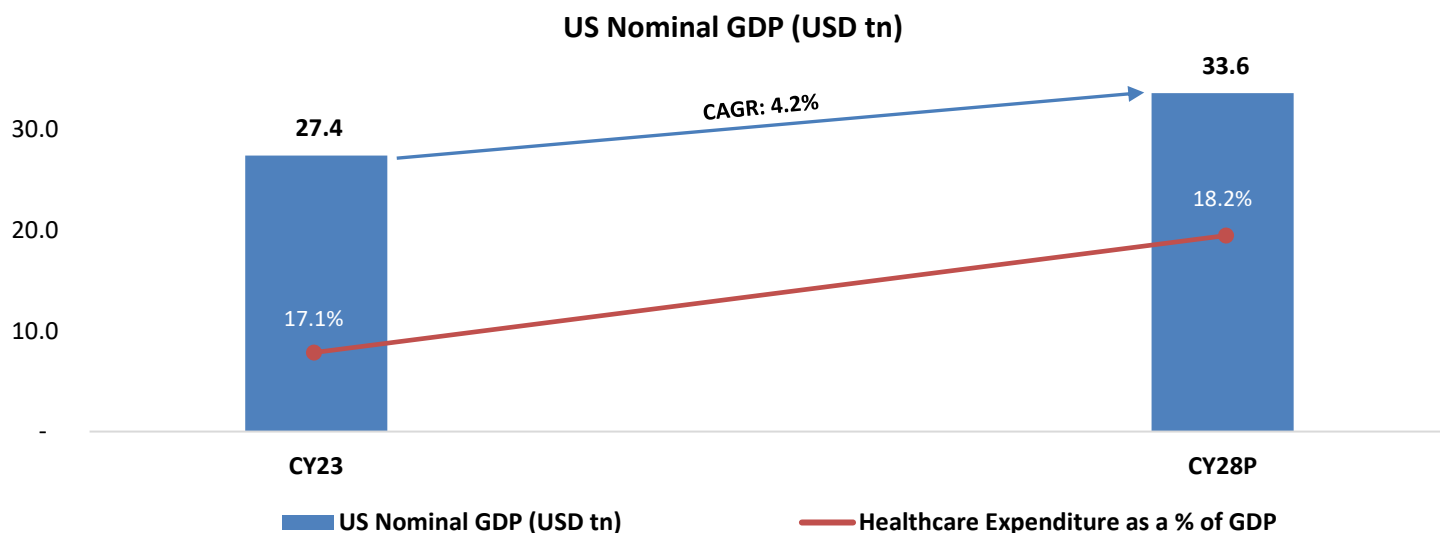
Particulars	FY22 [#]		FY23		FY24		1QFY25	
	Rs cr	as a %	Rs cr	as a %	Rs cr	as a %	Rs cr	as a %
Top 3 clients	703.2	76.2	3,053.7	72.4	3,247.7	68.3	818.6	66.9
Top 5 clients	766.0	83.0	3,398.2	80.6	3,762.8	79.2	962.7	78.7
Top 10 clients	849.1	92.0	3,825.2	90.7	4,345.2	91.4	1,115.0	91.2

Source: RHP, SSL Research

[#]: FY22 financial data for 28th July 2021 to 31st March 2022

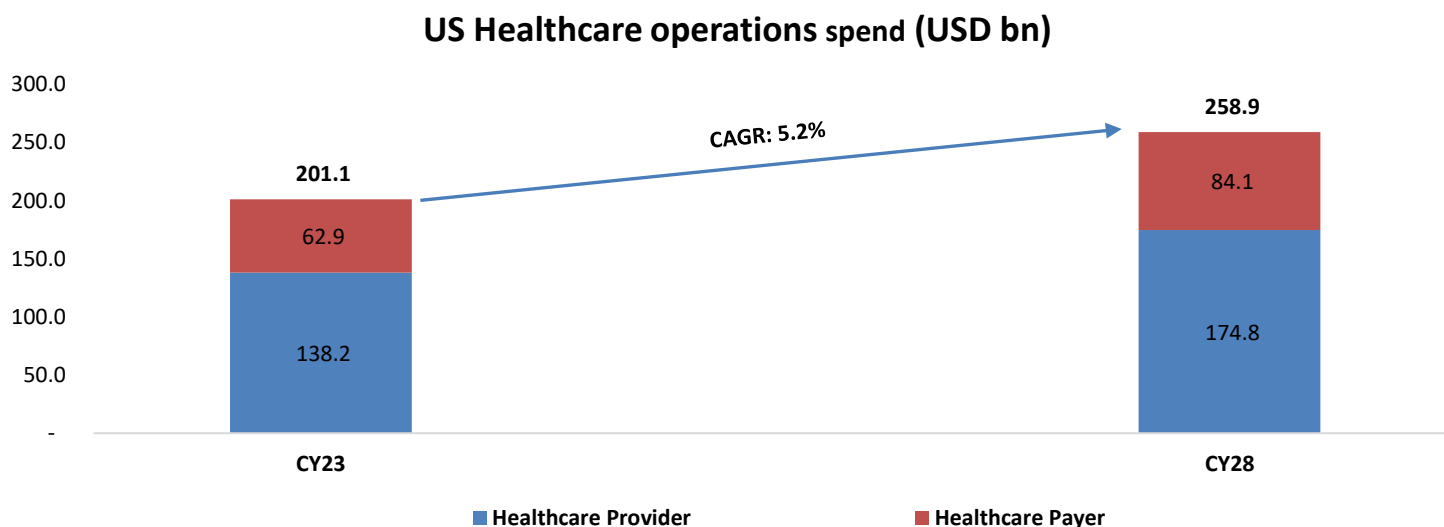
Industry Overview

According to the International Monetary Fund (IMF), the **Nominal Gross Domestic Product (GDP) in USA** stood at USD 27.4 tn in CY23 and is projected to grow at a CAGR of 4.2% between CY23-CY28P to reach USD 33.6 tn by CY28P. Healthcare is an intricate segment for the US economy accounting for 17.1% of its GDP or USD 4.7 tn in CY23. Healthcare expenditure is projected to stand at USD 6.1 tn or 18.2% of nominal GDP in CY28P.



Source: RHP, SSL Research

The **Healthcare operations spend in USA** was valued at USD 201.1 bn in CY23 and is further expected to grow at a CAGR of 5.2% between CY23-CY28P to reach USD 258.9 bn by CY28P. The growth is likely to be driven by the rise in aging population, increasing prevalence of chronic diseases and various governmental initiatives aimed at enhancing healthcare services, among other factors. **Healthcare Payer operations spend** is projected to grow from USD 138.2 bn in CY23 to USD 174.8 bn by CY28P, at a CAGR of ~4.8% driven by rising consumerism and changing care models. **Operations spend for Healthcare Providers** was valued at USD 62.9 bn in CY23 and is expected to grow at a CAGR of ~6.0% between CY23-CY28P to reach USD 84.1 bn by CY28P; driven by factors such as increasing demand for healthcare services and complexities in billing.



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
(Rs cr)	FY22 [#]	FY23	FY24
Revenue from Operations	923	4,218	4,754
YoY growth (%)	-	356.8%	12.7%
Employee Cost	506	2,494	2,938
Other Operating Expenses	228	697	728
EBITDA	190	1,027	1,088
EBITDA margins (%)	20.5%	24.4%	22.9%
Other Income	21	18	28
Interest Exp.	65	215	185
Depreciation	147	644	689
PBT	-2	186	242
Exceptional item/Extraordinary item	0	0	0
Tax	3	42	13
PAT	-5	144	228
PAT margin (%)	-0.5%	3.4%	4.8%
EPS	-0.0	0.3	0.5

BALANCE SHEET			
(Rs cr)	FY22 [#]	FY23	FY24
Assets			
Net Block	265	295	383
Capital WIP	5	-	6
Intangible Assets	2,585	2,322	2,008
Right of use assets	552	529	567
Other Non-current Assets	5,282	5,650	5,981
Current Assets			
Trade receivables	926	1,069	1,181
Cash and Bank Balances	374	585	344
Other Current Assets	106	140	194
Total Current Assets	1,406	1,793	1,720
Current Liabilities & Provisions			
Trade payables	115	213	259
Other current liabilities	563	633	730
Short-term provisions	63	73	67
Total Current Liabilities	741	919	1,056
Net Current Assets	666	875	663
Total Assets	9,356	9,672	9,608
Liabilities			
Share Capital	1,919	1,919	4,285
Reserves and Surplus	2,108	4,288	2,158
Total Shareholders' Funds	4,027	6,207	6,443
Total Debt	4,239	2,348	1,934
Long Term Provisions	80	103	148
Lease Liabilities	549	548	598
Other Long-Term Liabilities	-	6	14
Net Deferred Tax Liability	461	460	471
Total Liabilities	9,356	9,672	9,608

Cash Flow (Rs cr)	FY22 [#]	FY23	FY24
Cash flow from Operating Activities	(32)	857	973
Cash flow from Investing Activities	(7,714)	(129)	(469)
Cash flow from Financing Activities	8,116	(545)	(751)
Free Cash Flow	(39)	713	791

RATIOS			
	FY22 [#]	FY23	FY24
Profitability			
Return on Assets (%)	0.0	1.4	2.1
Return on Capital Employed (%)	0.8	4.7	5.1
Return on Equity (%)	-	2.3	3.5
Margin Analysis			
EBITDA Margin (%)	20.5	24.4	22.9
Net Profit Margin (%)	-	3.4	4.8
Short-Term Liquidity			
Current Ratio (x)	1.6	1.7	1.2
Quick Ratio (x)	1.6	1.7	1.2
Avg. Days Sales Outstanding	366	92	91
Avg. Days Inventory Outstanding	-	-	-
Avg. Days Payables	45	18	20
Fixed asset turnover (x)	3.5	14.3	12.4
Debt-service coverage (x)	0.0	0.2	0.2
Long-Term Solvency			
Total Debt / Equity (x)	1.1	0.4	0.3
Interest Coverage Ratio (x)	1.0	1.9	2.3
Valuation Ratios			
EV/EBITDA (x)	94.4	15.4	14.4
P/E (x)	-	97.8	61.5
P/B (x)	3.5	2.3	2.2
EV/Sales (x)	19.4	3.7	3.3

Source: RHP, SSL Research

[#]: FY22 financial data for 28th July 2021 to 31st March 2022

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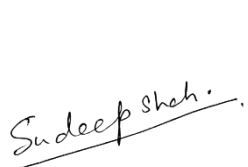
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